

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION
SPRDL1-24-R-0114**

1. Contracting Agency: Defense Logistics Agency – DLA Land Warren (DLA-WRN).

2. Description of Action: DLA-WRN proposes to award a new Firm-Fixed-Price contract to an offeror providing the product of C.E. Niehoff & Co, Commercial and Government Entity (CAGE) 76761, the approved source for National Stock Number (NSN) 2920-01-425-5604, Generator, Engine Accessory (Generator), Part Number (P/N) N1601, using Army Working Capital Funds (AWCF).

3. Description of Supplies/Services: The Generator is used on the M1135 Stryker Nuclear, Biological and Chemical Reconnaissance Vehicle (NBCRV). The deliverables for this contract are for a base quantity of 76 each, with an option quantity of 76 each, making a total quantity of 152 each. The total estimated maximum value of this contract is \$ [REDACTED]

Acquisition Method Code (AMC):

3 - Acquire, for the second or subsequent time, directly from the actual manufacturer.

Acquisition Method Suffix Code (AMSC):

R - The data or the rights to use the data needed to purchase this part from additional sources are not owned by the Government and it has been determined that it is uneconomical to purchase them.

4. Authority Cited: The statutory authority permitting other than full and open competition for this effort is 10 United States Code (U.S.C.) 3204(a)(1) as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements".

5. Reason for Authority Cited: The Generator, a main component of the Stryker Power Module drawing 10663134-011, is an electrical component that delivers [REDACTED] current to the Stryker and on-board electrical components. Working together with the Stryker batteries and engine, the Generator is the electrical power generator for the vehicle [REDACTED]. The Generator is driven by the engine and keeps the batteries in a charged condition.

C. E. Niehoff & Co. is the only manufacturer and approved source of supply for the Generator which was designed specifically for the Stryker. This part has tailored space claim, interfaces, and performance requirements that are unique to the Stryker. [REDACTED]
[REDACTED] Having this item manufactured by a

different source that may not be able to meet the extensively unique performance requirements such as radio noise suppression, corrosion protection, electrical environment, and operation temperature [REDACTED]

[REDACTED]

The Government does not have a complete build-to-print Technical Data Package (TDP) nor proprietary rights that would be required to produce a competitive TDP. The Government possesses the Limited Rights Alternator Drawing 10663304-001, however this document is insufficient on its own to reproduce the Generator. Due to the limited technical data available on the Generator, Reverse Engineering is the only recourse for the Government to increase competition through development of a competitive build to print TDP. A significant amount of time and money would be necessary to reverse engineer, procure and test prototypes, and release the design. The cost to Reverse Engineer the unit is estimated at \$4,500,000 and [REDACTED] to complete as detailed below:

<u>Action</u>	<u>Cost</u>	<u>Time</u>
Develop Testing Criteria & Performance Requirements	\$500,000	[REDACTED]
Reverse Engineering	\$2,000,000	
Test Prototype on Vehicle	\$2,000,000	
Total Estimated Time to Reverse Engineer	\$4,500,000	

The Government would not be able to recover, through subsequent competition, the duplication of costs involved in reverse engineering the Generator Engine Accessory to within a reasonable time frame. At the current average usage rate of [REDACTED], a current unit cost of \$[REDACTED], and assuming 25% savings achieved through competition, the \$[REDACTED] in annual savings would take over [REDACTED] to offset the estimated \$4,500,000 cost of reverse engineering the item and develop a competitive TDP.

6. Efforts to Obtain Competition:

- a. Effective competition: Due to the reasons cited in section 5 above, the Government is not pursuing competition for this item. Notices required by FAR 5.201 will be posted.
- b. Subcontracting competition: Unless the contract is awarded to a small business, the solicitation and resulting contract will include FAR clauses 52.219-8, "Utilization of Small Business Concerns"; 52.244-5, "Competition in

Subcontracting"; 52.219-16, "Liquidated Damages--Subcontracting Plan";" and Defense Federal Acquisition Regulation Supplement (DFARS) 252.219-7003, "Small Business Subcontracting Plan (DoD Contracts)," to maximize small business opportunities and utilization.

7. Actions to Increase Competition: There are no plans to increase competition for future procurements due to the reasons cited above.

8. Market Research: A Sources Sought Notice was posted to SAM.gov on 19 June 2024 and was open for 15 days. No responses were received.

In June 2024, Ground Vehicle Systems Center (GVSC) Engineering conducted a web-based search of known Generator, Engine Accessory suppliers using keywords: "400", "amp", "alternator" and "generator".

Website: <https://www.mechman.com/>,
<https://autotechengineeringusa.com/ampapplications>, <https://wccaraudio.com/>,
<https://bigjeffaudio.com/>

Findings: There were several commercial alternators available such as the Mechman "400 Amp Elite Series" alternator and the Autotech "HP-8237-400AMP" alternator; however, none would be able to meet the unique performance requirements required for this military application.

In addition, engineering spoke to M992A2 team, who are working a redesign for an obsolete alternator, to discuss the challenges and costs it has taken to get an obsolete alternator a source.

9. Interested Sources: To date no additional sources have expressed interest in this item.

10. Other Facts: Procurement History:

Contract Number: SPRDL1-24-P-0018
Award Date: 1 February 2024
Contractor: C. E. NIEHOFF & CO
Contract Value: \$287,280.00
Competitive Status: Sole Sourced

Contract Number: SPRDL1-10-C-0171
Award Date: 17 August 2010
Contractor: C. E. NIEHOFF & CO

Contract Value: \$631,301.07
Competitive Status: Sole Sourced

11. Technical Certification: I certify that the supporting data under my cognizance, which is included in the justification, is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Branch Chief, GVSC
Signature:

11/4/2024
X [REDACTED]

Signed by: USA

12. Requirement Certification: I certify that the supporting data under my cognizance, which is included in the justification, is accurate and complete to the best of my knowledge and belief.

Name: [REDACTED]
Title: Branch Chief, Procurement
Signature:

11/4/2024
X [REDACTED]

Signed by: USA

13. Fair and Reasonable Cost Determination: I hereby determine that the anticipated cost to the Government for this contract action will be fair and reasonable. This determination will be based on the results of a detailed cost and/or price analysis. The contractor will not be required to submit Certified Cost or Pricing Data (COPD) as the expected value of this procurement does not fall within the COPD threshold. This item is other than commercial.

Name: McCarthy, Ralph F
Title: Contracting Officer
Signature:

11/4/2024
X Ralph McCarthy
Signed by: MCCARTHY.RALPH.FITZGERALD. [REDACTED]

14. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

Name: McCarthy, Ralph F

Title: Contracting Officer

Signature:

11/4/2024

X

Ralph McCarthy

Signed by: MCCARTHY.RALPH.FITZGERALD